

**Time:** 5 minutes**Outcome:** Evaluate GDP as a measure of well-being.**Difficulty:** ●○○ Beginner

Limits of GDP



THE CORE IDEA

GDP measures market production, not complete well-being. It omits much unpaid work and does not directly measure leisure, environmental quality, income distribution, or all changes in product quality. A higher GDP can accompany either improvements or declines in these dimensions.



HOW TO RECOGNIZE IT

- Unpaid household production can create value without entering measured GDP.
- Environmental damage or less leisure can offset gains from additional market output.
- Average GDP does not show how income is distributed.



WATCH OUT

A common mistake is to equate a change in market spending with the same change in total useful services. Moving activity into or out of markets can change GDP even when useful services or consumer benefit move differently.



WORKED EXAMPLE: WHAT GDP MISSES

A hurricane destroys homes, and rebuilding adds \$2 billion to measured construction. Holding other domestic production constant, rebuilding adds \$2 billion to GDP. It does not subtract the homes that were destroyed or the loss of security and leisure, so the GDP increase does not prove that well-being improved.



CHECK YOURSELF

A hurricane destroys homes, and rebuilding raises measured GDP. Name one loss the GDP increase does not subtract and explain why higher GDP does not prove higher well-being.

**READY?**

Return to the game and master this concept.